

CAPITAL COMMITTEE AND LONG-RANGE PLAN

APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

FY27 capital-project portfolio model

Build after-tax annual cash flows from EBITDA, depreciation tax shield, working capital, and terminal recovery before calculating NPV.

Select the highest-NPV feasible portfolio; mandatory safety projects must be included even if their standalone NPV is lower.

Enforce cash capex, eligible-debt, and technician-capacity constraints simultaneously; do not rank only by standalone NPV.

Boise branch expansion business case

Model only incremental Boise economics; the supplied corporate allocation is explicitly excluded.

Invest working capital at the stated percent of revenue and release it in Year 6 together with terminal capex recovery.

Use discounted cash flows for payback; return null if cumulative discounted cash flow never recovers the opening investment within the six-year forecast. Solve Year 3 EBITDA break-even jobs per technician from the local cost structure.

Fleet replacement financing alternative

Compare all alternatives on after-tax present-value cash cost over exactly 60 months.

For the loan, deduct only the interest tax shield; principal is not tax-deductible.

For ownership alternatives include after-tax maintenance and after-tax resale; lease payments and lease maintenance are deductible.

five-year long-range plan

Roll revenue, fixed opex, working capital, debt, and cash sequentially for each scenario; do not overwrite the downside or upside with a base-case percentage.

Free cash flow precedes debt repayment and financing; the minimum-cash financing plug is the final step.

Debt and cash must roll forward year by year and the downside output is the maximum single-year financing plug.

Shareholder distribution capacity

Calculate each distribution constraint independently; a positive result under one test cannot offset a tighter test.

Roll FY27 pre-distribution cash from posted opening unrestricted cash plus operating cash generation before capex and amortization, less funded capex and required debt amortization; retain both minimum operating cash and the downside liquidity reserve.

Reduce forecast funded debt by required FY27 amortization before testing leverage. Treat the shareholder distribution itself as the incremental fixed charge in the FCCR capacity test.

Maximum distribution is the minimum nonnegative headroom across cash, leverage, FCCR, tangible net worth, and surety working capital.

FY27 strategic capital-allocation memorandum

Available capacity is the lower of the board deployment cap and cash plus FCF above minimum cash plus approved growth revolver headroom.

Use posted funded debt from the Vista ERP, not the superseded \$8.5 million planning placeholder; debt reduction cannot exceed posted debt.

Apply every decision gate independently. Shareholder distributions are zero if any minimum-cash, downside-prudence, leverage, covenant, or return gate fails; total uses may not exceed available capacity.

Pro forma leverage reduces posted debt for debt repayment and adds acquisition debt capacity. Exclude unvalidated debt-paydown value creation and report Downside cash before mitigation, not Severe Downside.

Repurchase-versus-debt-paydown decision

Cap debt paydown at posted funded debt from the Vista ERP and calculate after-tax interest savings.

Deduct after-tax foregone cash yield for all deployed cash and reduce diluted shares only for actual repurchases.

Test deployable cash, minimum ending cash, leverage, trading-volume, and EPS-accretion guardrails independently.

The minimum EPS-accretion guardrail applies to every alternative, including a pure debt-paydown alternative; the trading-volume guardrail applies to shares actually repurchased.

Recommend the feasible alternative with the greatest EPS accretion; do not assume the largest nominal repurchase is executable.

Optimize a two-year capital-return cadence rather than a one-period headline. Roll cash, funded debt, diluted shares, interest savings, foregone yield, share-price escalation, and per-year trading-volume capacity.

Reject any cadence that fails either year's cash, debt, volume, leverage, or EPS gate, then recommend the feasible plan with the highest FY28 EPS accretion and report both-year execution metrics.

System reconciliation schedule

Analysis	Accounting-system reconciliation
FY27 capital-project portfolio model	No Alder Ridge ledger tie required
Boise branch expansion business case	No Alder Ridge ledger tie required
Fleet replacement financing alternative	No Alder Ridge ledger tie required
five-year long-range plan	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300; Vista ERP P&L, 2025-07-01 through 2026-06-30; Operating Expense total; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Shareholder distribution capacity	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
FY27 strategic capital-allocation memorandum	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Repurchase-versus-debt-paydown decision	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300